

Millet Snack Launch: Investor Assessment

Comprehensive Analysis of Pitch Deck & 3-Year Pro-Forma Financial Model (\$3.5M Ask)

1. EXECUTIVE SUMMARY & INVESTMENT ASSESSMENT

Having performed an institutional review of both the **Pitch Deck** and the **3-Year Financial Model / Business Proposal** for the Millet Snack launch, the overall investment thesis presents a high-growth, macro-aligned opportunity in the clean-label packaged foods space. The startup demonstrates compelling unit economics and strong operational traction.

Key Investment Highlights Identified:

- **Strong Unit Margins:** Healthy **58% Gross Profit Margin** driven by direct co-op grain sourcing and low-burn co-manufacturing partnerships.
- **Exceptional Capital Efficiency:** Low Customer Acquisition Cost (CAC) of \$4.80 versus a Customer Lifetime Value (LTV) of \$28.50, yielding a robust **5.9x LTV:CAC ratio** and a rapid **1.8-month CAC payback period**.
- **Solid Operational Traction:** FY26 Gross Revenue reached **\$2.40 Million (+185% YoY)** across 3,200+ retail storefronts and major Quick-Commerce platforms (Blinkit, Instamart, Zepto).
- **Proprietary Technology & Moat:** Utilization of twin-screw low-shear extrusion technology (91% consumer panel taste preference) solving millet grittiness, backed by direct contract farming agreements.

However, despite these strong underlying metrics, there are **critical information gaps and strategic omissions** in the submitted materials that must be addressed before an institutional investor can issue a Term Sheet or commit capital to the \$3.5 Million Series A round.

2. CRITICAL MISSING INFORMATION

A. Team, Leadership & Governance Structure

- **Founder Profiles & Background:** The documents lack founder biographies, past entrepreneurial track records, or specific FMCG/D2C domain expertise.
- **Current Cap Table & Equity Distribution:** No information is provided regarding the current shareholding pattern, founder equity split, or existing angel/seed investor stakes.
- **Key Executive Hiring Plan:** Missing details on who leads R&D, supply chain logistics, and retail key account management, as well as plans for C-suite expansion.

B. Valuation & Capital Deal Structure

- **Pre-Money Valuation Benchmark:** While seeking a \$3.50M capital injection, the proposal omits the baseline pre-money valuation or target equity percentage being offered.
- **Security Type & Rights:** Absence of proposed deal terms (e.g., Series A Preferred Stock, 1x non-participating liquidation preference, board seat rights).

- **Unallocated Option Pool (ESOP):** No explicit mention of an ESOP creation/expansion prior to the round to attract key executive talent.

C. Operational Risk & Channel Granularity

- **Channel-Wise Revenue Breakdown:** Revenue (\$2.4M) is aggregated; investors require exact percentage splits across Quick-Commerce, Direct-to-Consumer (DTC), and Modern Trade.
- **Shelf Life, Returns & Packaging Integrity:** Absence of packaging stability studies, actual shelf-life duration (in months), and historical product return/unsold inventory rates.
- **Facility Ownership vs. Co-Packing Risks:** Clarification is needed on whether extrusion machinery is co-located with third-party manufacturers or fully owned and operated in dedicated facilities.

3. DEEP-DIVE DETAILS REQUIRED PRIOR TO TERM SHEET & FUNDING

Before proceeding to term sheet execution and legal due diligence, investors will expect exhaustive, data-backed answers to the following operational and financial queries:

1. Financial & Cohort Diligence

- **Cohort Retention Profile:** While a 38% repeat rate is highlighted, what is the monthly retention curve at Day 30, Day 60, and Day 90 across DTC vs. Q-Commerce?
- **Retail Store Velocity:** What is the average sales velocity per store per month across the 3,200 retail storefronts?
- **Slotting & Modern Trade Margins:** How will listing fees, slotting allowances, and distributor trade promotions impact net revenue as offline retail expands from 25% to broader national chains?

2. Supply Chain Moat & Intellectual Property (IP)

- **Extrusion IP Defense:** Is the twin-screw low-shear extrusion process patented, patent-pending, or held as a trade secret? What prevents major incumbent snack brands from replicating the technology?
- **Millet Co-Op Contractual Rigor:** Are direct farming agreements long-term, fixed-price contracts? How is raw grain pricing hedged against seasonal crop failures, climate disruptions, or inflation?

3. Channel Strategy & Regulatory Readiness

- **Quick-Commerce Ad Dependencies:** What proportion of Q-Commerce sales is organically driven versus dependent on platform ad spend and sponsored placements?
- **International Regulatory Filings:** For the Phase 1 North American rollout (Whole Foods, Sprouts), are US FDA facility registrations, import agent agreements, and nutritional labeling compliance fully completed?

4. Exit Horizon & Valuation Realism

- **Strategic Acquirer Identification:** Who are the target strategic buyers in Years 3–5 (e.g., Tata Consumer, ITC, PepsiCo, Nestlé, Britannia)?

- **Multiple Justification:** The financial model projects an exit multiple of 4.0x–5.5x Net Revenue (\$100M–\$140M EV). What recent benchmark transactions in the regional FMCG/D2C space support this valuation multiple?

4. SUMMARY ACTION PLAN BEFORE PITCHING

Category	Missing Element	Required Action Item
Leadership & Cap Table	Founder team profiles, cap table, executive roles	Add a dedicated Team & Governance slide with cap table breakdown.
Valuation & Terms	Pre-money valuation & target equity share	Define explicit valuation expectations, equity dilution, and share class rights.
Channel Breakdown	Revenue split (DTC vs. Q-Comm vs. Retail)	Provide store-level velocity and channel-specific P&L contribution margin analysis.
IP & Supply Chain	Patent legal status & co-op supply agreements	Compile IP patent filings and multi-year supply contract documentation.
Regulatory & Compliance	Export compliance verification for US/GCC	Provide FDA registration numbers, ISO 22000 certificates, and export partner LOIs.

Investor Recommendation: Address these foundational gaps in an updated Appendix or Data Room prior to institutional partner meetings to maximize deal velocity and preserve valuation leverage.